CASCADIA ANALYTICS

INVESTMENT SCORECARD

# DLR

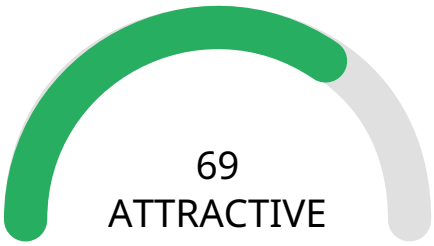
Digital Realty Trust, Inc. (NYSE)

As-of: 2026-10-18 | Latest Filing: 10-Q Q2 2026 | Currency: USD

$175.97 [Mkt 18-Oct-26]

Market Cap: $65.3B [Mkt 18-Oct-26]

## Attractiveness Score




Confidence: **High** (0 pillars excluded)

## Pillar Breakdown

### 1. Operating Quality — 78

Largest wholesale data center REIT with ~55% adjusted EBITDA margins and an investment-grade balance sheet (4.7x leverage, BBB/Baa2). Record $1.9B backlog and 1.4 GW under construction show the platform compounding. Dividend $4.88/share covered 1.7x by core FFO.

### 2. Recent Trend — 80

Q2 2026 beat across revenue, EBITDA, and core FFO with guidance raised twice this year. Core FFO per share ex promote grew 14% YoY, cash renewal spreads hit a record 25.4%, and backlog grew 75% year-to-date. Two straight years of double-digit core FFO growth.

### 3. Forward Growth — 75

Base case 7% revenue CAGR is credible: backlog at ~30% of in-place rent, 1.4 GW pipeline, and management's stated confidence in extending double-digit FFO growth into 2027. Offset: growth is funded by $4.25-4.75B of 2026 development capex and 13.5M of ATM shares ($2.5B) sold in H1 2026.

### 4. Valuation — 50

DCF base $176 vs $175.97 spot implies fair value, essentially zero margin of safety. At ~22× 2026 core FFO guidance the multiple is full for a REIT, and the 2.8% dividend yield offers little cushion if the 10Y stays near 5.1%.

### 5. Catalysts & Risk — 65

Q3 print on Oct 29 is the near-term swing factor. Key risks: development execution and funding (heavy capex plus ATM dilution), power and permitting delays on the pipeline, hyperscale customer concentration, and rate sensitivity of the REIT multiple.

## Investment Thesis

- **Scarcity Premium Is Real:** Cash renewal spreads hit a record 25.4% in Q2 and the backlog grew 75% year-to-date to $1.9B. Constrained new supply lets DLR reprice existing powered capacity at materially higher rents [Company 2Q26].
- **Visible Double-Digit Growth:** Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027 [Company 2Q26].
- **Fair Price, Not a Bargain:** Our DCF base case of $176 matches the $175.97 spot price, leaving no margin of safety. The 22x core FFO multiple already prices in the growth story [DCF, Mkt 18-Oct-26].

## Key Operating Metrics

| Metric | Latest | YoY Change | 3Y Trend |
|---|---|---|---|
| Revenue (2026E guidance) | $6.85-6.95B [Company 2Q26] | +13% vs FY25 $6.11B [Company 4Q25] | Up |
| Core FFO/share (2026E, ex promote) | $8.15-8.20 [Company 2Q26] | Q2: $2.13, +14% YoY [Company 2Q26] | Up |
| Signed backlog (record) | $1.9B / $1.4B share [Company 2Q26] | +75% YTD [Company 2Q26] | Up |
| Cash renewal spreads (Q2) | +25.4% [Company 2Q26] | Record quarter [Company 2Q26] | Up |
| Adj. EBITDA margin (2026E) | ~55% [Company 2Q26] | $3.75-3.85B guide [Company 2Q26] | Stable |
| Net debt / Adj. EBITDA | 4.7x [Company 2Q26] | BBB/Baa2 rated [Company 4Q25] | Strong |

## Historical Financial Trend

| Metric | FY22 | FY23 | FY24 | FY25 | FY26E |
|---|---|---|---|---|---|
| Revenue ($B) | 4.69 [Mkt 18-Oct-26] | 5.48 [Mkt 18-Oct-26] | 5.55 [Mkt 18-Oct-26] | 6.11 [Company 4Q25] | 6.90 [Company 2Q26] |
| Revenue growth % | n/a [Mkt 18-Oct-26] | 17% [Mkt 18-Oct-26] | 1% [Mkt 18-Oct-26] | 10% [Company 4Q25] | 13% [Company 2Q26] |
| Core FFO/ share ($) | n/a [Mkt 18-Oct-26] | n/a [Mkt 18-Oct-26] | n/a [Mkt 18-Oct-26] | 7.39 [Company 4Q25] | 8.15-8.20 [Company 2Q26] |
| Adj. EBITDA ($B) | n/a [Mkt 18-Oct-26] | n/a [Mkt 18-Oct-26] | n/a [Mkt 18-Oct-26] | n/a [Company 4Q25] | 3.75-3.85 [Company 2Q26] |

## Valuation

### Absolute (5/10)

DCF Base $176 [DCF 18-Oct-26]
~22× 2026 Core FFO guidance $8.15-8.20 [Company 2Q26]
Dividend yield 2.8% [Mkt 18-Oct-26]

DCF implies fair value at the current price. The multiple is full for a REIT and the yield offers little cushion with the 10Y near 5.1%.

### Versus Peers (5/8)

EQIX ~24× 2026 AFFO guidance [Mkt 18-Oct-26]
DLR ~22× 2026 Core FFO guidance [Company 2Q26]

DLR trades at a slight discount to Equinix despite comparable AI exposure; the discount reflects heavier development capex intensity and recent ATM dilution.

### Versus History (4/7)

DLR has historically traded ~18-22x FFO [Mkt 18-Oct-26]
Now at the high end of its historical range

The premium reflects AI-driven demand, but it leaves no room for execution slips on the development pipeline.

## Catalyst Timeline

**Oct 29, 2026** [Mkt 18-Oct-26]
Q3 2026 earnings. Consensus ~$1.76B revenue and ~$1.99 FFO/share; backlog conversion and renewal spreads in focus.

## Top Risk Factors (Item 1A)

**1. Funding and dilution:** 2026 development capex guidance of $4.25-4.75B (net of partner contributions) is funded partly by equity: 13.5M ATM shares ($2.5B) sold in H1 2026. Continued

**Ongoing** [Company 2Q26]
$1.4B signed-not-commenced backlog at DLR share (~30% of in-place data center rent) plus 1.4 GW under construction converting to revenue through 2027.

**2027** [Company 2Q26]
Management sees confidence to extend double-digit core FFO per share growth runway into 2027 and beyond on backlog visibility.

## What Would Change Our Score

The Oct 29 Q3 print is the swing factor: another beat-and-raise with backlog growth would support the Bull case toward $212, while a funding-heavy print with more ATM dilution or power delays on the pipeline would push toward the $142 Bear case. Sustained renewal spreads above 10% would lift Forward Growth and Valuation.

dilution would drag per-share growth. [Company 2Q26]

**2. Development execution and power:** 1.4 GW under construction must be delivered on time with secured power. Municipal pushback on grid strain and water usage, the same dynamic driving the scarcity premium, can also delay DLR's own pipeline. [Company 2Q26]

**3. Rate sensitivity:** At ~22× 2026 core FFO with the 10Y near 5.1%, the REIT multiple is rate-sensitive. A higher-for-longer rate regime would compress the valuation even if operations deliver. [Mkt 18-Oct-26]

## Forward Growth Drivers

- Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026. [Research]
- AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction. [Company 2Q26]
- Interconnection moat: record $108M of 0-1 MW plus interconnection bookings in Q2 ($20.5M pure interconnection). Interconnection revenue is high-margin, sticky, and hard to replicate. [Company 2Q26]
- Funding flexibility: $12B+ of remaining hyperscale development capacity via the JV platform and closed-end fund; net debt to adjusted EBITDA 4.7x with BBB/Baa2 ratings. [Company 2Q26]

## Missing / Modified Data Log

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